



KAUSHIK BASU

BREAKING FROM THE PAST

The years saw India rise like a phoenix from its ashes. Social, economic and political, there were reforms on all fronts.

It is a reasonable forecast that 30 to 40 years from now India will be a developed country. And when that happens, I believe it is the 1990s that will be viewed as the decade when the nation broke from its past.

The decade had not started out well. The shock waves of the first Gulf War caused remittances into and exports out of India to take a nosedive and this triggered a spiralling economic crisis during 1991-92. That year the nation's per capita income recorded a negative growth rate. The crisis turned out to be a blessing in not too much of a disguise. As a nation we had fallen into a groove—nurturing a mindless bureaucracy in the name of socialism, repeating the same tired policies and refusing to admit the need for change. It was like Mr Needleman, who, in a Woody Allen short story, leaned out from his balcony seat during an opera and fell into the orchestra pit. And then, as Mr Allen puts it, "Too proud to admit that it was a mistake, he attended the opera every night for a month and repeated it each time."

It needed courage to break the logjam. Tribute has to go to the then finance minister, Manmohan Singh, for ushering in what was arguably the most dramatic policy shift in independent India's history. The country's notorious licensing system was dismantled, the mindlessly high import tariffs lowered and exchange controls eased. The gamble paid off. The economy turned around from the brink of major chaos and international debt default. And by 1994 the economy was booming. The next three years would be the best that independent India had seen till then, with the GDP growing at above 7 per cent per annum. There was a small dip after that as the whole of

East Asia plunged into a major economic depression. But the growth rate picked up again after two years and currently the economy seems to be cruising at an average rate of 8 per cent per annum, which is remarkable.

India's balance of payments used to be forever crisis-ridden. From the late 1970s to the early 1990s, the nation's foreign exchange reserves were stuck at what, to use a tired expression, could be described as the "Hindu foreign exchange balance"—around \$5 billion. The reforms did the impossible. By 1994 the balance rose to \$25 billion, by 2002 to \$75 billion, and now it is close to \$200 billion.

While the reforms were critical for the turnaround of the economy, we would be remiss not to recognise that there were other factors of importance. India's savings rate had risen sharply in the 1990s, following the bank nationalisation of 1969, and this was critical for the success of the economy. As a nation we had, for a long time, over-invested in higher education, producing more engineers than what the economy could absorb, more English-language skills than would be recommended on narrow utilitarian grounds. But once the technology revolution in America's Silicon Valley occurred, there was a surge in global demand for these resources and the over-investments paid off unexpectedly and handsomely.

This shows that the argument, that the success of the reforms proves the Nehruvian policy to be wrong and India should have adopted the 1990s' reforms 40 years ago, need not be valid. While it is true that India had been excessively stubborn about policy and experimented too little, the success of the particular policy package adopted in the early 1990s depended on several complementary pre-conditions. There are many Latin

As a nation we had fallen into a groove and refused to admit the need to change.